

Legal Entity Structuring Proposal — TrueSight DAO

Prepared: 2026-06-22 | **Context:** SVH Capital cacao circle — June 26

1. Executive Summary

Three signals are turning from grey to red:

Signal	Status	Why Now
DAO legal wrapper	Red	Member liability shield, DAO bank account, governance clarity for TDG holders
Impact fund capital injection	Red	Impact funds, foundations, corporate ESG have no entity to write checks to
Personal bank account	Red	Gary's personal account is the bottleneck

The core structure

Wyoming UNA/DUNA (nonprofit, DAO legal wrapper)

- Own bank account (partner contributions + impact fund capital)
- TDG holders govern the DUNA (pseudonymous — wallet only)
- Contractual relationship with TrueTech Inc

TrueTech Inc (Delaware C-corp, independent entity)

- Own cap table and shareholders (Gary)
- Own bank account (commercial operations: imports, sales, revenue)
- May buy back TDG at NAV using operating cash reserves (discretionary)
- Publishes buyback reserve formula on website

Brazilian LTDA (CNPJ) = export facility (eventually DUNA-owned)

Key design decisions

- TrueTech Inc = independent entity — Not a subsidiary. Separate cap table. Contractual relationship, not structural. Avoids UBIT and 501(c)(3) jeopardy.
- Two separate bank accounts — TrueTech Inc (commercial) + DUNA (mission/treasury)
- TDG buyback at NAV — TrueTech Inc may buy back at net asset value using operating cash. Business decision, not DUNA obligation.
- Buyback reserve formula — Published on website. Buybacks not guaranteed — tied to business performance.

- UNA first, DUNA if eligible — No auto-upgrade from UNA to DUNA in statute. Must elect DUNA Act with 100+ members by mutual consent.
- Wise as single banking platform — Both entities use Wise Business accounts with API automation.
- Brazil CNPJ eventually DUNA-owned — Removes single-person dependency on Matheus.

2. Current State Assessment

Financial Flows

Current (problematic):

Brazil Farmers to Matheus (private CNPJ) to Export to TrueTech Inc to Gary's personal bank account to DAO expenses

Target (with DUNA):

Brazil Farmers to DUNA-owned CNPJ to Export to TrueTech Inc (commercial) to TrueTech Inc account Partners (Nora, etc.) to DUNA bank account to tree planting / DAO expenses

Impact funds to DUNA bank account to tree planting / carbon credits

Member exit to Member submits DApp withdrawal to TrueTech Inc may buy back at NAV to TDG deducted

Treasury Snapshot

Item	Amount
Main Ledger USD	\$3,476.27
Main Ledger USDT	\$66.93
Main Ledger Brazilian Reis	R\$2,511.97 (~\$583.53 USD)
Total available cash	~\$4,126.73
TDG issued	~2.3M tokens across ~350 contributors

Only Main Ledger cash is available. Managed ledgers are earmarked for cacao shipment financing.

3. Beneficial Ownership & State Transparency Laws

Federal CTA — Moot

As of FinCEN's March 2025 interim final rule, all U.S.-formed entities and their U.S. beneficial owners are exempt from BOI reporting. A Wyoming UNA/DUNA is U.S.-formed. Neither the entity nor Gary files BOI to FinCEN.

State Transparency Laws — The Live Risk

State	Law	Status	Impact
New York	LLC Transparency Act	Effective Jan 1, 2026	Requires disclosure for LLCs in NY. Does not directly apply to Wyoming UNAs.
California	Advancing own version	In progress	Similar to NY if passed.
Wyoming	No state transparency law	N/A	No beneficial ownership registry.

Current posture: A Wyoming UNA/DUNA is not directly subject to any state transparency law. No BOI filing required at any level.

4. Impact Fund Capital Injection Pathways

Pathway	Timeline	Tax Deductible?
A: Direct donation to DUNA	Immediate after DUNA formed	No (but fund can still donate via PRIs, TDG-for-capital)
B: Fiscal sponsorship bridge	1-3 months	Yes (via sponsor)
C: DUNA's own 501(c)(3)	6-12 months	Yes (directly from DUNA)

The pitch: Fund tree planting through our Wyoming DUNA. You get verified impact reports, future carbon credits, and voting rights in the DAO.

5. Implementation Timeline — Parallel Tracks

Track	What	Cost	Timeline
Track A: TrueTech Inc Wise	Opens Wise Business account for commercial transactions	\$0-500	This week (1-2 days)
Track B: UNA Formation	Gary + TrueTech Inc sign OtoCo to UNA formed	~\$50 gas	This week (1 day)
Track C: UNA Wise	UNA gets EIN to opens its own Wise Business account	\$0	2-4 weeks

No dependency between tracks.

DUNA Formation — Requirements Check

Wyoming's DUNA statute requires:

- 100+ members joined by mutual consent under a governing agreement
- Blockchain-based governance (smart contracts, token voting)
- Election to form under the DUNA Act (not auto-conversion from UNA)

Important: There is no statutory auto-upgrade from UNA to DUNA. The statute's automatic conversion runs downward only: if a DUNA falls below 100 members, it auto-converts into a plain Wyoming UNA.

Current status: We have ~350 contributors with TDG. The question is whether those 350 are "members by mutual consent" under a governing agreement. If yes, DUNA formation is possible now. If not, UNA is the current stopgap.

Action item: Verify with OtoCo whether their smart contract actually automates DUNA formation, or if that's a claim to confirm directly.

6. TDG Governance Rights

What TDG Is

TDG tokens represent voting rights in the DAO entity (UNA or DUNA form). They are issued to contributors for work — cacao logistics, contribution scoring, software development, partner onboarding — and grant governance power over the organization's strategic direction, budget allocation, and program funding.

TDG is not a financial security or profit-sharing instrument. It is a governance right that happens to be transferable/tradeable.

Current Flow (Live Today)

When a member wants to exit, they use the DApp withdrawal page:

https://dapp.truesight.me/withdraw_voting_rights.html

The flow:

1. Member connects wallet and signs in on the DApp
2. DApp shows their total voting rights, value per right, and available USD reserves
3. Member enters the number of voting rights to cash out
4. Member selects their Withdrawal Method from the dropdown (PIX, PayLah, Venmo, Zelle, PayPal, WiseTransfer, Western Union)
5. Member enters their account details for the selected method
6. Member submits — request is recorded in the ledger
7. TrueTech Inc may buy back the TDG at NAV using operating cash reserves
8. Member's TDG balance is deducted from the ledger
9. TDG is effectively burned — removed from circulation

Buyback Reserve Mechanism

There is no separate "impact fund" backend or committed buyback reserve. TrueTech's buyback capacity is simply its available operating cash flow.

TrueTech publishes a reserve formula on the website (e.g. "X percent of monthly sales volume"). This formula determines what portion of TrueTech's revenue gets set aside for potential token redemptions versus reinvestment, operations, and growth.

Key characteristics:

- Buybacks are not guaranteed or promised — available based on current reserves calculated by the published formula
- Transparent and tied to business performance — if sales grow, reserve capacity grows; if sales decline, redemption capacity declines
- Discretionary on TrueTech's side — TrueTech commits to the formula, not to individual redemption demands if reserves are insufficient
- TrueTech may also participate in secondary markets for TDG as a buyer if strategically sensible

What Changes with the DUNA

The buyback budget and price are already fully automated by the existing tokenomics GAS script:

Metric	Formula	Current Value
Buyback budget	$(30\text{-day sales} / 30) \times \min(\text{Asset/TDG}, 1 - \text{Treasury yield})$	\$0.093/day
Buyback price	Total DAO assets / Total TDG issued	\$0.0067/TDG
Execution	createDailyTdgBuyBackTransactions()	Automated

With the DUNA, the only change is the source account — from Gary's personal account to TrueTech Inc's Wise account. The automation stays the same.

Aspect	Today	With DUNA
Who issues cash	TrueTech Inc (from Gary's personal account)	TrueTech Inc (from its own Wise account via API)
Who authorizes	Automated — GAS script calculates budget daily	Same — DUNA governance can adjust formula
Buyback price	Automated — ASSET_PER_TDG_ISSUED (\$0.0067)	Same — formula-driven
Buyback budget	Automated — \$0.093/day from 30-day sales x asset/TDG	Same — scales with revenue
TDG deduction	Ledger entry	Same

Aspect	Today	With DUNA
Transparency	On-chain via Edgar API + Wise API reconciliation	Same

7. Resource Gap Analysis

What We Have

- Mission clarity, on-chain governance, physical supply chain
- Tree-planting pipeline, partner network, carbon credit potential
- AWS/Edgar/tokenomics infrastructure, SVH Capital connection
- Wise banking relationship, Wise API access, member exit mechanism (DApp + ledger)
- Fully automated buyback budget and price calculation

What We Need

Need	Est. Cost
Legal counsel (DUNA formation + eligibility verification)	\$5K-15K
501(c)(3) tax attorney	\$2K-10K
Brazilian legal representative	\$1K-3K
Multi-entity accounting	\$2K-5K/yr

8. Questions for SVH Capital (June 26)

1. DUNA formation: Can you refer us to a Wyoming law firm that specializes in DUNA formation? We need to verify whether our ~350 TDG holders qualify as "members by mutual consent."
2. OtoCo verification: OtoCo claims to automate UNA formation via smart contract. Do they also handle DUNA formation, or is that a separate process requiring a law firm?
3. UNA vs. DUNA: If we don't meet the 100-member threshold for DUNA, is a Wyoming UNA sufficient as a stopgap?
4. 501(c)(3) pathway: Realistic timeline and cost for IRS exemption for a DAO that plants trees?
5. Brazilian entity: Can a Wyoming DUNA own a Brazilian LTDA, or does it need a US holding LLC?
6. TrueTech Inc independence: TrueTech Inc is a separate Delaware C-corp with its own cap table. Contractual relationship with DUNA, not structural. Does this avoid UBIT and 501(c)(3) jeopardy?

7. TDG buyback: TrueTech Inc may buy back TDG at NAV using operating cash, publishing a reserve formula. Buybacks discretionary, not guaranteed. Can this continue under a DUNA structure?

8. Impact fund capital: Can a Wyoming UNA/DUNA issue TDG to impact funds in exchange for capital contributions?

9. Service Provider Reference

Service	Link
OtoCo (UNA formation)	https://otoco.io
Wise (banking + API)	https://wise.com
IRS EIN	https://www.irs.gov/ein
The Giving Block (fiscal sponsorship)	https://thegivingblock.com
Endaoment (on-chain fiscal sponsorship)	https://endaoment.org

Appendix: OtoCo UNA Formation Steps

1. Go to <https://otoco.io>
2. Connect wallet (MetaMask or compatible)
3. Select Summon a UNA
4. 2+ wallet addresses sign the smart contract
5. Pay gas (~\$50)
6. UNA is formed
7. Apply for EIN at <https://www.irs.gov/ein> (free)
8. Open Wise Business account using UNA's EIN
9. For DUNA: verify eligibility (100+ members by mutual consent) and engage legal counsel to elect formation under the DUNA Act

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